

PROFITABILITY DIAGNOSTIC

SpiceJet: Diagnosing a Profitability Crisis and the Path Back to Breakeven

A quarter-by-quarter analysis of FY26 results, benchmarked against IndiGo

Losses are a capacity story first, a cost story second — recovery is underway but scale remains the core risk

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The Pattern

Revenue collapsed 35.6% YoY in Q1 FY26, troughed in Q2, then recovered 13.8% YoY in Q3 — losses have followed this exact curve, deepening then narrowing.

2

The Root Cause

An industry-wide Pratt & Whitney engine grounding crisis cut capacity faster than costs could adjust — this hit every airline, but hit SpiceJet's thin margins hardest.

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The Benchmark

IndiGo faced the same Q3 headwinds (labour-code costs, forex) and still posted a 22.9% operating margin. SpiceJet, at 1/17th the revenue scale, has no comparable cushion.

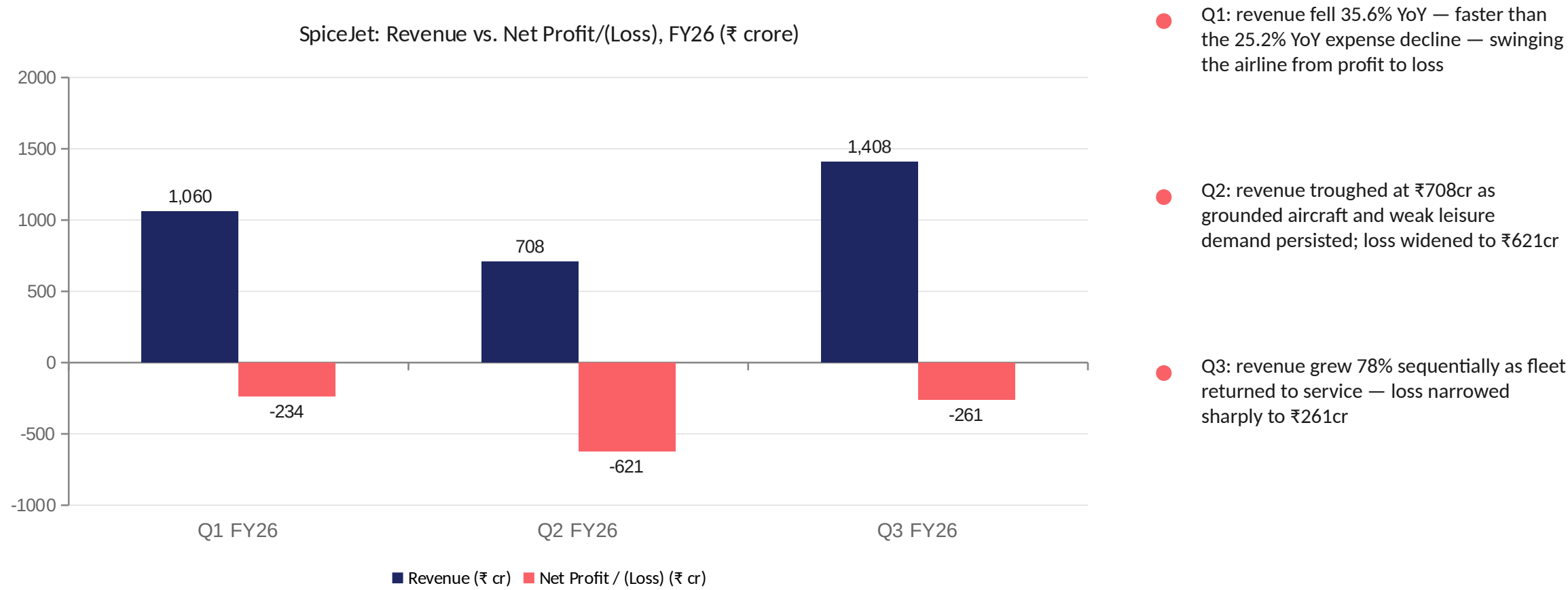
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The Recommendation

Prioritize fleet reactivation speed over route expansion, hedge fuel/forex exposure, concentrate capacity on proven high-yield routes, and pursue a capital infusion to rebuild the balance sheet.

THE SITUATION

A quarter-by-quarter look shows losses tracking the revenue curve, not a separate cost blowout



THE BENCHMARK

Same quarter, same headwinds, opposite outcomes — IndiGo's scale is the difference, not its cost discipline alone

Metric	SpiceJet	IndiGo
Q3 FY26 revenue	₹1,408 cr	₹23,472 cr
YoY revenue growth	+13.8%	+6.2%
Operating / EBITDA margin	-13.4%	+22.9%
Net result	Loss of ₹261 cr	Profit of ₹550 cr
Hit by labour-code + forex shocks?	Yes	Yes (₹969cr + ₹1,035cr exceptional items)

Revenue scale ratio: IndiGo operates at roughly 17x SpiceJet's quarterly revenue — the same shock that dents IndiGo's margin can push SpiceJet into a loss outright.

ROOT CAUSE: CAPACITY SHOCK

An industry-wide engine crisis grounded aircraft across every major carrier, not just SpiceJet

THE INDUSTRY SHOCK

Pratt & Whitney's PW1100G/PW1500G geared-turbofan defect has forced **600-720 A320neo-family aircraft** into grounding globally for inspection and repair — a multi-year disruption affecting IndiGo, Wizz Air, Lufthansa Group carriers, and SpiceJet alike.

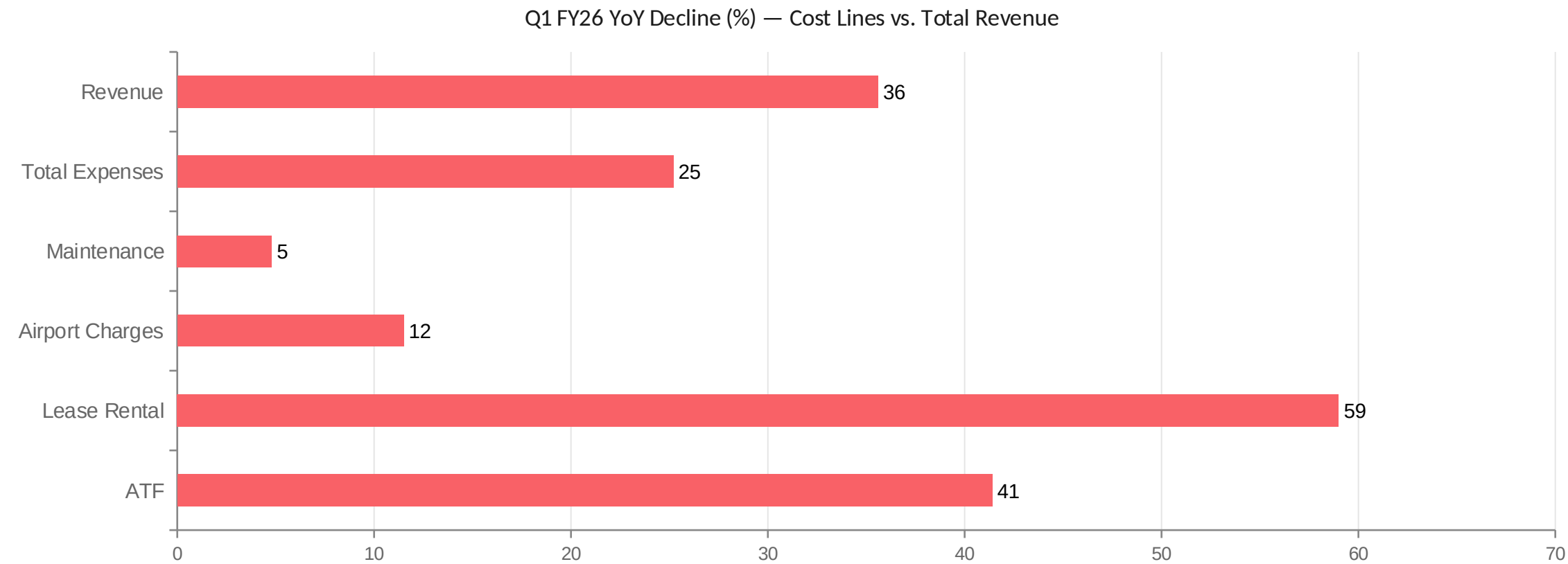
Even IndiGo — India's largest, best-capitalized carrier — reported ~40 aircraft grounded and guided to mid-30s groundings for the following quarter.

WHY SPICEJET FEELS IT MORE

- Grounded aircraft still carry lease and maintenance costs, whether flying or not — a fixed cost that doesn't scale down with reduced capacity
- SpiceJet's smaller total fleet means each grounded aircraft removes a larger share of total capacity than the same grounding would at IndiGo
- Recovery has required a rapid, costly fleet rebuild — from 54 total aircraft (19 operational) in Q2 FY26 to 68 total (32 operational) by December 2025

ROOT CAUSE: REVERSE OPERATING LEVERAGE

In Q1, revenue fell faster than costs could be cut — the textbook mechanism behind the swing to loss



Three distinct, mutually exclusive drivers explain the loss — each needs a different fix

1. Capacity Shock

Industry-wide engine groundings cut available seat-kilometres faster than fixed costs (leases, maintenance) could be shed.

Fix: accelerate fleet reactivation, not route expansion

2. Cost Volatility

Fuel prices and rupee depreciation add earnings volatility on top of an already-thin margin base.

Fix: hedge fuel and forex exposure

3. Scale Disadvantage

At ~1/17th IndiGo's revenue, SpiceJet has no margin cushion to absorb shocks that larger peers absorb routinely.

Fix: concentrate capacity on proven high-yield routes; raise capital

RECOMMENDATION

A four-part plan: restore capacity, de-risk costs, focus the network, rebuild the balance sheet

1. Restore Capacity

0-6 months

Prioritize speed of fleet reactivation over new route announcements — Q3's recovery shows this is the single biggest lever on the loss line

2. Hedge Cost Volatility

0-6 months

Layer in fuel and forex hedges to reduce the earnings swings a thin-margin carrier can least afford

3. Focus the Network

6-12 months

Concentrate returning capacity on proven high-yield domestic trunk routes and niche international/charter markets (e.g. Haj operations) rather than spreading thin

4. Rebuild the Balance Sheet

12-18 months

Pursue a capital infusion or strategic partner — cost actions alone cannot offset a structural scale disadvantage against IndiGo

Bottom line: the Q3 recovery already validates the core thesis — capacity restoration, not cost-cutting, is what moves the loss line. The plan is built to accelerate and protect that recovery.

RISKS & MITIGANTS

The plan's biggest external dependency is outside SpiceJet's control — the pace of engine repair

RISK P&W's engine repair timeline slips further, delaying fleet reactivation	MITIGANT Build flexible short-term wet-lease capacity to bridge gaps, as IndiGo has done
RISK Fuel prices or rupee depreciation worsen faster than hedges can be layered in	MITIGANT Stagger hedge maturities and revisit quarterly rather than locking a single annual rate
RISK Capital markets are unreceptive given negative book value and FII outflows	MITIGANT Explore strategic/anchor investor routes alongside public capital raises
RISK Network-focus strategy cedes share in deprioritized routes to IndiGo/Air India	MITIGANT Treat this as a deliberate trade-off — margin recovery over market-share defense in Year 1

Sources & methodology

- Business Standard — SpiceJet Q1 FY26 and Q2 FY26 results coverage (revenue, net loss, EBITDA, cost breakdown)
- Kotak Securities — SpiceJet Q3 FY26 results (revenue, net loss, expense growth)
- MarketsMojo — SpiceJet Q3 FY26 result analysis (operating margins, market cap) and IndiGo Q3 FY26 result analysis (EBITDA margin)
- Zeebiz / Bajaj Broking — IndiGo Q3 FY26 results (revenue, net profit, EBITDAR margin, exceptional items)
- Aviation Week / FlightGlobal / TheAirCurrent — Pratt & Whitney PW1100G/PW1500G engine grounding crisis, industry-wide scope
- Deccan Herald — IndiGo grounding disclosures for comparative context

Note: this is an independent analytical exercise using public, press-reported financial data (not internal company documents), built to demonstrate profitability-diagnostic methodology. Minor cross-source rounding exists (e.g. revenue-from-operations vs. total-income bases); the directional narrative is consistent across every source consulted. Companion Excel workbook contains the full data table and calculations.